



AI GENERATED IMAGE BY VISHAL CHAVRI

DOUBLE WHAMMY

Stuck between high taxes and a lack of rules, crypto investors have little incentive to keep investing

BY **AAKANKSHA CHATURVEDI**

Among the stakeholders in the Indian crypto industry, retail investors have got the shortest end of the stick. On the one hand, they are subjected to high taxes, on the other, the lack of rules gives crypto exchanges and brokerages an upper hand.

Budget 2022-23 had introduced a 30 per cent tax on profits made in crypto trading, with no provision to set off or carry forward losses. "I made profits with my Bitcoin holdings, but a loss due to Solana (another cryptocurrency). Unlike in the stock markets, I haven't been able to set off or carry forward my losses," says a Bhiwandi-based engineer, requesting anonymity.

Apart from that, tax authorities have also been seeking heavy tax dues dating back years. And it is not just high taxes. Often, the lack of a framework on how crypto exchanges and brokerages should operate compounds their problem. A trader from Gandhinagar says he and a few others made significant profits in 2022 with multiple triple arbitrage trades in Tether and rupee, among others, but the exchange shut down their account and withheld their profits and the principal amount. "They cited the user agreement. Under it, the exchange could shut our account whenever it wished."

"Since there is no regulatory framework, the contractual agreement is upheld," says Purushottam Anand, Founder of Crypto Legal, which advises on crypto matters. With most agreements drawn up by exchanges, they put users at a disadvantage as there is no regulatory body to oversee their operations. "To ensure that retail investors are protected, it is high time that regulators work on a framework on how crypto exchanges should operate," says Anand. **BT**

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the perception about crypto. Singhal, however, is confident. "All our investment products, be it crypto or beyond, will be fully compliant with the existing rules and standards. We will share the details as and when we announce our new products," he says.

However, Chennai-based Vikram Subburaj, CEO and Co-Founder of Giottus Cryptocurrency Exchange, says his focus remains on making crypto investing easy and seamless. "We have launched features like easy buy/sell, SIPs, curated thematic baskets, and a conversational tool to facilitate smoother transactions and cater to new investors," he says, adding that Giottus has a runway for two more years. "It is good enough to clear through the bear markets. We are seeing traditional players getting into building ETFs for cryptos. So signs of new customers coming to the ecosystem have begun already," says Subburaj, an alumnus of IIM Calcutta.

As exchanges navigate through the bear market, a common underlying goal is shared among both Indian exchanges and major global players: to ready themselves for the upcoming bull run. "Fluctuation is quite normal in the finance industry... We remain optimistic about the long-term potential of the crypto market. Our strategy is to continue improving our platform, expanding our offerings, and educating our users," says Johnny Lyu, CEO of KuCoin, which was founded in 2017 and is based in Mahe, Seychelles.

THE NEED FOR REGULATION

While taxing cryptos can be seen as the first step towards recognising the asset class, the regulatory space in India is still a work in progress. And regulations are necessary simply because of the anonymity that crypto provides to its users, say experts. While blockchain—on which cryptocurrencies are built—has